CIMA Strategic Case Study

Mock exam 1

February 2025 class

Task 1

You receive the following email from Martin Jacobs, Chief Finance Officer (CFO).

From: Martin Jacobs, CFO
To: Senior Manager (SM)
Subject: Warehouse automation proposal - Stakeholders and ethics

Hi SM,

Last week, I had a discussion with the Production Director (Andrey) regarding a proposal to automate the warehousing of our lithium products (see attachment). The associated cost savings would improve our profitability and should address our declining share price. Our shareholders would welcome such a proposal. However, Andrey was concerned that the warehouse automation proposal would lead to job losses at the warehouses.

In light of this, I would like your thoughts on the following (for a Board meeting):

- Firstly, evaluate the interest, power, and relationship management of warehouse staff and shareholders, as well as any other key stakeholders you consider relevant to this proposal.

[Sub task (a) – 55%]

- Secondly, assess the ethical aspects of the warehouse automation proposal, focusing on warehouse staff and shareholders. Consider any wider ethical implications you deem relevant and recommendations to address any negative consequences.

[Sub task (b) – 45%]

Regards,
Martin

Reference Material:

Briefing note - Warehouse automation proposal

Overview of proposal

Our finished goods warehouses are located next to our lithium processing plants. Currently, warehouse staff manually handle storage and retrieval of products on foot or with a forklift, which is time-consuming and prone to errors. The proposed Automated Storage and Retrieval System (ASRS) would use robots to replace most warehouse staff. Remaining staff would manage robots and pack goods for delivery.

Financial aspects

- Current number of warehouses: 9 (one per lithium processing plant)
- Current warehouse staff costs: P$50 million annually (salaries & pensions)
- Post automation % reduction in warehouse staff costs: 80%
- Post automation % reduction in warehouse staff numbers: 70%
- Initial ASRS investment: P$120 million
- Estimated annual savings: P$40 million

Non-financial aspects

- Faster order fulfilment and reduced errors in order picking.
- Efficient use of warehouse space and integration with automated lithium processing plants.
- Aligns with Rotomyne's strategy for innovation and supply chain optimisation.

Additional notes

- This proposal would involve significant changes to warehouse operations, potentially impacting current staff roles. Approximately 630 staff would be made redundant across the nine warehouses.
- Warehouse staff have expressed concerns about job security, and union representatives have requested a detailed plan for managing redundancies.
- Shareholders have expressed interest in understanding how the financial benefits of automation align with the company's long-term goals.
- The Board is aware of potential reputational risks associated with redundancies, particularly in regions where warehouses are significant local employers.

Task 2

A week later, the following email is waiting for you when you arrive at the office.

From: Martin Jacobs, CFO
To: Senior Manager (SM)
Subject: Warehouse automation technology - analysis and funding

Hi SM,

The Board would like more information about the warehouse automation proposal. I researched potential suppliers and found an advanced solution from Super-Tech Inc. (see attached article). The supplier quoted a cost of P$100m for automating all our warehouses, and we would be the first lithium miner to adopt this technology. My financial analysis suggests an NPV of P$20m over five years.

I am also considering financing the automation through a reduction in dividends. Most of our shares are owned by institutional investors, who typically prefer fixed income. Our dividend policy has been consistent over the years, with a high payout ratio.

In preparation for a Board follow-up meeting, I would like your help with the following:

- Firstly, evaluate the proposed warehouse automation technology, considering its business suitability, stakeholder acceptability, and financial and operational feasibility. Provide a justified recommendation.

[Sub task (a) – 55%]

- Secondly, discuss the key considerations when setting our dividend policy and recommend whether we should adjust it to finance the automation.

[Sub task (b) – 45%]

Regards,
Martin

Reference Material:

Magazine article - The Technology Times

Super-Tech's next-generation warehouse robot

Super-Tech Inc is a leader in warehouse automation based in the US. Its latest robot, the Warehouse Auto-Mate (WAM), is an advanced autonomous mobile robot (AMR) designed to streamline warehouse operations. Capable of lifting loads up to 50 kg, the WAM uses sensors and artificial intelligence to navigate warehouse aisles and optimize travel paths. Unlike older models that require fixed wire guides, the WAM can operate freely, making it more flexible and efficient.

Capabilities

In-aisle robotic picking - The robot picks the customer order and delivers it to a human operator for packaging and despatch.

Goods-to-Person picking - For heavier or awkwardly shaped items, the robot delivers goods to a workstation where a human can handle them manually.

Inventory replenishment - The robot organises and stores items in the most efficient locations to optimise space and access.

Benefits

Reduces operational and fulfilment costs, lowering cost per order.

Operates 24/7, eliminating the need for overnight staff.

Replaces reliance on human pickers, with one robot replacing four roles.

Can be quickly installed and scaled to meet growth demands.

Portable and reusable across multiple warehouse locations.

Integrates seamlessly with existing IT systems.

Task 3

A week has passed and you receive the following email from the CFO.

From: Martin Jacobs, CFO
To: Senior Manager (SM)
Subject: Warehouse automation project - IT risks
Hi SM,

The Non-Executive Chair has raised concerns (see attached email) regarding IT risks associated with the proposed warehouse automation. These include potential cyber security vulnerabilities and broader issues related to Board governance.

I would like your input on the following for an upcoming CEO meeting:

- Firstly, evaluate the strategic, governance, and operational implications of appointing an IT Director. Provide a justified recommendation and an action plan for addressing the identified IT risks.

[Sub task (a) – 55%]

- Secondly, explain the types of cyber security risks Rotomyne might face due to warehouse automation and discuss the objectives of a robust cyber security risk management program.

[Sub task (b) – 45%]

Regards,
Martin

Reference Material:

Email to the CFO from the Non-Executive Chair

From: Iresh Jayawardena, Non-Executive Chair
To: Martin Jacobs, CFO
Subject: Concerns about IT risks

Hi Martin,

The proposed automation of our warehouses introduces new IT hardware, such as robots, and cloud-based software to manage them. This software will require integration with our legacy IT systems, including order and inventory management, which are linked to our network.

I am concerned about cyber security risks, particularly given that our legacy systems lack modern security features. External connectivity could expose these systems to threats such as hacking or malware attacks. Additionally, there are risks related to software bugs and teething problems, which could disrupt order fulfilment and affect customer confidence.

To address these issues, I suggest recruiting an IT Director with expertise in cyber security and digital transformation. This would strengthen the Board's oversight of IT risks and ensure we have the necessary skills to manage this critical area. Good governance practice requires Boards to oversee all areas of material risk effectively, and ensuring adequate expertise at Board level would demonstrate our commitment to managing these risks responsibly.

Kind regards,
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